

# Executive Summary



## Discounts may not be the best strategy to reduce churn

Given that customers are not overly price sensitive, more customer outreach is needed to determine the best retention strategies



## Churn is high in the SME company segment

Nearly 10% across over 15,000 customers. Churn is concentrated among **low-consumption, high-margin customers**, meaning PowerCo is losing its most profitable accounts for reasons unrelated to price



## Factors influencing likelihood to churn can be measured and predicted

A sensitivity analysis was conducted to analyze the impact of price on churn



## Price sensitivity is not the primary driver

Net and gross margin on electricity and consumption are the largest drivers of churn over the past 12 months